

IN THE SUPREME COURT OF INDIA

Arjun Iyer vs Rudra Shah & Ors. ... on 25 August, 2025
(2023) 1 ALD 578, AIR 2024 SC 162
Bench: Bela Trivedi, J. and Vipul M. Pancholi, J.

JUDGMENT

Bela Trivedi, J.

1. This appeal arises out of a civil suit for specific performance of a development agreement coupled with possession. The plaintiff/appellant seeks direction to execute conveyance and mesne profits under Order 39 Rule 1 and 2 of the Code of Civil Procedure, 1908 (CPC) in respect of property situated in Pune.
2. The respondent/vendor contended that time was of the essence and the appellant failed to tender the balance consideration of Rs. 2.4 Crores within the stipulated 90 days, invoking forfeiture under Section 74 of the Indian Contract Act, 1872.
3. Mr. Merchant, learned Senior Counsel for the appellant, argued that in contracts relating to immovable property time is not ordinarily of the essence, and demonstrated continuous readiness and willingness under Section 16(c) of the Specific Relief Act, 1963.
4. Counsel relied upon (1997) 3 SCC 1 in the case of K.S. Vidyanadam v. Vairavan, and upon (1993) 1 SCC 519 in the case of Chand Rani v. Kamal Rani, holding readiness and willingness must be gathered from contemporaneous conduct.
5. Having examined the bank statements and escrow deposits, this Court holds the appellant satisfied the test of readiness and willingness under Section 16(c) of the Specific Relief Act, 1963.
6. The second appeal is dismissed; however, the plaintiff is granted refund of earnest money with interest at 9% per annum.

Vipul M. Pancholi, J. - I agree.